

Chairman cum Managing Director's Speech

at the 51st Annual General Meeting held at Hyderabad on 29.08.2009

Dear Shareholders,

I have great pleasure in welcoming you all to the 51st Annual General Meeting of the Company and present to you the Annual Report of your Company for the financial year 2008-09.

The Directors' Report and the Audited Balance sheet of your Company for the period ended 31st March, 2009 have already been provided to all the shareholders of the Company. With your permission, I take them as read.

Economic Scenario-World Wide

The year in retrospect has been highly turbulent and challenging for the world economy. The unprecedented financial crisis, probably the worst since the Great Depression era, has shaken the foundations of some of the strongest economies in the world. It is heartening to note that the Governments across continents have responded with great speed and in rare unison through various stimulus packages. However, the path to recovery is expected to be long and arduous.

Economic Scenario-Indian

India has not been immune to this global upheaval and meltdown. Relatively, India has displayed resilient strength and character in sustaining decent growth rates, even though several sectors have been adversely impacted. Though there are signs of recovery, it is too early to predict signals of a full-fledged recovery.

The sharp surge in price of food grains, pulses, sugar etc., in recent times, poor monsoon and constraints in infrastructure creation may affect the growth rate in the current financial year.

Company's Performance

I am happy to share with you that despite a setback experienced in the financial year 2008-09 due to the global meltdown, the impact of which has not receded completely as yet, your Company has taken its achievements to higher levels.

They are summarized as under:

- Turnover reached a new high of Rs. 7564 crore breaking the previous year's record of Rs. 5711 crore.
- Profit before tax shot up to Rs. 6648 crore, 34% higher than the previous year high of Rs. 4947 crore and the profit after tax increased to Rs. 4372 crore, 34% higher than the previous year high of Rs. 3251 crore.
- Networth increased to Rs. 11615 crore as on 31-03-2009, 41% higher than Rs. 8265 crore of the corresponding date of the previous year.
- The Company's Board recommended a final dividend of 118%, i.e. 467.84 crore (subject to shareholders' approval) in addition to the interim dividend of 103%, i.e. Rs.408.36 crore already paid, totalling to 221%, i.e. Rs.876.20 crore, for the year 2008-09.
- As an MoU signing PSE with the Government of India, your Company's performance during the year qualifies for Excellent rating.
- The year saw your Company entering into new area-Wind Energy. Seven (7) Units of Wind Electricity Generators having a capacity of 1.5 MW each have been commissioned and generated 65.46 lakh KWH of power. The power is being transmitted to the grid of Karnataka Power Transmission Corporation Limited.

Iron Ore Sales

In respect of iron ore, the Company has achieved a physical turnover of 28.52 million tonnes, marginally lower than the last year's record turnover of 29.82 million tonnes. On the side of sales, the performance in the year 2008-09 has been 26.47 million tonnes as against 28.18 million tonnes in the previous year. Supply of Iron Ore to domestic industries recorded 225.98 lakh tonnes as against the previous year's supply of 244.06 lakh tonnes, recording a decrease of 7.41%. Total export of Iron Ore

during the year was 38.74 lakh tonnes against 37.78 lakh tonnes in the previous year, an increase of 2.54%.

Production and sales were affected during second half of the year due to Global Economic Recession which commenced from October, 2008. Several measures by way of identifying new customers, tapping spot market, special discount on certain products etc., were some of the measures taken to tide over the situation.



Rana Som
Chairman-cum-Managing Director

In the year 2008-09, the spot iron ore prices in export market fell from the peak of around US\$ 140/- per ton to around US\$ 50/- per ton during the later part of the year. However, in view of improvement in world economy and demand picking up especially in China, iron ore prices presently show firming up to around US\$ 80/- per ton.

New Projects & Business Diversification

In order to achieve the Company's mission of achieving 50 million tonnes production by 2014-15, the construction of Deposit 11B mine at an expanded capacity of 7.0 million tonnes of ROM per annum has been taken on priority. To take care of the depleting reserves of Donimalai iron ore mine and augmenting production capacity, the construction of Kumaraswami mine with capacity of 7.0 MTPA has been envisaged. The entire project has been planned to be executed in 6 packages. Tendering activities of the packages are in progress. The existing infrastructure of Donimalai mines will be used in exploitation of Kumaraswami reserves in order to bring down cost of mining.